

MERCHANT SETTLEMENT SERVICES AGREEMENT

Agreement ID: PAYTM-BANK-2026-0013

Effective Date: 5 April 2026

This Agreement is entered into between **Paytm** ("PSP") and **Federal Bank** ("Bank"). Each is a "Party" and together the "Parties".

1. Purpose and Scope

The Parties establish a technical and commercial arrangement for UPI and related digital payment services, including payment initiation, status enquiry, refunds, account validation, reconciliation, reporting and merchant settlement.

2. Technical Integration

The Bank will expose authenticated APIs over encrypted transport. Paytm will use unique request and correlation identifiers, idempotency controls, bounded retries, timeout handling, credential rotation and secure secrets management.

3. Transaction Processing

Paytm may submit eligible payment instructions after required validations. The Bank will return statuses including PENDING, SUCCESS, FAILED, REVERSED and REFUNDED, together with applicable response codes, retrieval reference numbers and bank reference identifiers.

4. Settlement and Reconciliation

Eligible transactions will ordinarily be settled on a **same-day for eligible transactions** basis. The Parties will reconcile transaction and settlement records daily and investigate material status or amount mismatches.

5. Service Levels

The Bank targets monthly production API availability of **99.90%**, excluding approved maintenance. Payment initiation should ordinarily respond within 2 seconds. Severity-1 incidents must be acknowledged within **30 minutes**.

6. Commercial Terms

UPI processing charges are **INR 0.22 per eligible transaction**; account validation is **INR 0.35 per request**; platform access is **INR 90,000 per month**. Applicable taxes are additional.

7. Information Security

Each Party will maintain encryption, least-privilege access, audit logging, vulnerability management, security monitoring and credential controls. Passwords, private keys, access tokens and complete customer credentials must not be written to application logs.

8. Data Protection

Customer, merchant and transaction information will be processed only for authorized service, risk, compliance and regulatory purposes. Access will be restricted to personnel and systems with a legitimate need.

9. Compliance

Each Party remains responsible for laws, regulatory directions and payment-network requirements applicable to its activities and will reasonably cooperate on audits, transaction tracing, fraud investigations and regulatory information requests.

10. Fraud and Risk Management

The Parties may use velocity controls, risk scoring, device signals, behavioral rules and transaction monitoring. Transactions may be declined, held or escalated when fraud, security, sanctions, compliance or operational concerns are identified.

11. Incident Management

Material incidents will be communicated through agreed escalation channels. Initial notifications should include known impact, affected services, containment measures and remediation status, with continued coordination for critical incidents.

12. Business Continuity

Each Party will maintain and periodically test business continuity and disaster recovery arrangements appropriate to the services and remediate material deficiencies identified during testing.

13. Confidentiality

Non-public technical, financial, commercial, security and customer information received from the other Party is confidential and may be disclosed only to authorized recipients or where required by law.

14. Intellectual Property

Each Party retains its pre-existing intellectual property. The Bank retains its banking systems and API specifications; Paytm retains its payment orchestration software, applications, workflows and independently developed technology.

15. Audit Rights

The Parties will maintain records sufficient to demonstrate performance of contractual obligations and will cooperate with authorized regulatory, security and contractual assurance reviews subject to reasonable safeguards.

16. Liability

Liability will be subject to the limitations and exclusions set out in the applicable commercial schedule, except for liabilities that cannot lawfully be limited.

17. Term and Termination

The initial term is **24 months**. A Party may terminate for an uncured material breach after written notice and the applicable cure period. Pending settlements and transition obligations survive as required.

18. Dispute Resolution and Governing Law

Operational disputes will first be escalated through designated relationship managers and senior management. This Agreement is governed by the laws of India.

19. Change Management

Material API, security, settlement and commercial changes require documented change control. Emergency security changes may be implemented sooner where necessary with prompt notice.

20. Signatures

For Paytm: Authorized Signatory _____ Date _____

For Federal Bank: Authorized Signatory _____ Date _____